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Earnings Note

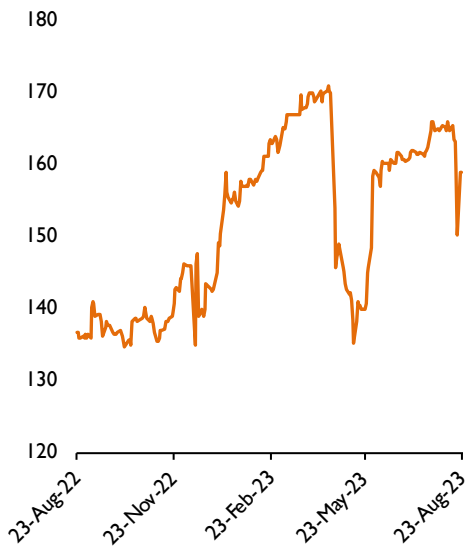
research@aib-axysafrica.com

Company details

Bloomberg Ticker	SCBL:KN
NSE Code:	SCBK
Issued Shares (Bn)	0.38
52-week high:	171.00
52-week Low	134.75

As at 23rd August 2023

Price Chart – Last 12 Months



AIB-AXYS Research, NSE

Historical Price Performance

	1m	3m	6m	12m
Absolute	**-2.88%**	**14.88%**	**-1.84%**	**17.00%**

AIB-AXYS Research, NSE

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August 24th 2023

Standard Chartered Bank Kenya HY'23 Earnings Note

Recomm: HOLD | **Current Price**: KES 160.00 | **Target Price:** KES 180.86

Stock Update

Result Update

Summary

- **Standard Chartered Bank Kenya HY'23 earnings results were higher than our expectations. The lender posted a 27.71% climb in PAT and a 30.28% growth in EPS** to KES 6.91Bn and KES 18.07 per share respectively driven by a 38.42% y/y growth in net interest income and a 26.79% y/y climb in non-interest income but weighed down by a 40.66% increase in operating expenses. Trailing ROaE and ROaA improved to 23.88% and 3.73% respectively in HY'23. NIM's climbed to 11.21% while the profit margin declined 168bps y/y to 33.09%.

- **Loan book grew 13.17% y/y to KES 145.44Bn while customer deposits declined by 1.13% y/y to KES 283.67Bn** leading to a 648bps increase in the loan to deposit ratio to 51.27%. Additionally, on a q/q basis we observed the customer deposits decline by 6.36% which we attribute to higher customer deposit mobilization costs. We observed a decline in the balance sheet by 72bps y/y and 6.94% q/q to KES 361.68Bn which we attribute to a decline in allocation to government securities, contrary to the industry trend. Allocation to government securities decreased 31.74% y/y and 25.65% q/q to KES 70.69Bn despite the recent uptick in government yields. Consequently, Fair Value changes through OCI turned to gains following losses in preceding quarters pointing to reorganization in the government securities holdings.

Key Highlights

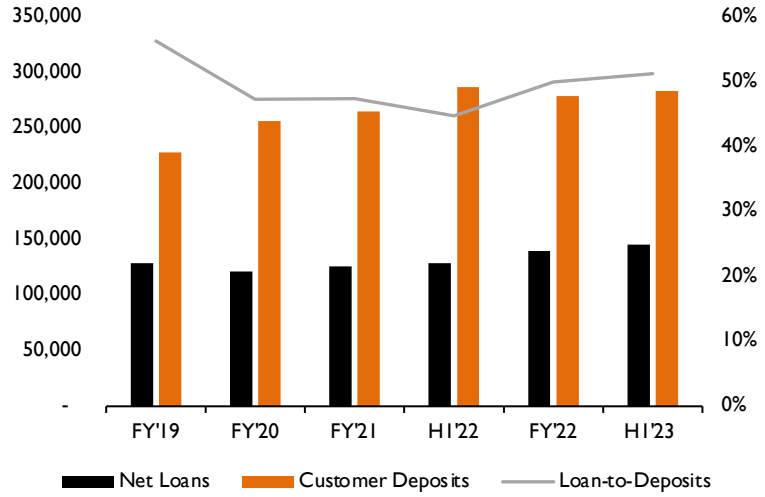
- **Net interest Income Growth Outpaced Non-Funded Income:** Net Interest income grew 38.42% y/y to KES 13.85Bn compared to the 26.79% y/y growth in non-funded income to KES 7.03Bn mainly driven by increase income from loans and advances with the continued implementation of risk-based lending. Non-funded income was primarily driven by a 96.45% y/y uptick in forex trading income resulting from arbitrage opportunities from the ongoing dollar market challenges. Consequently, the NII:NFI revenue mix shifted to 66:34 in favor of net interest income from 64:36 in HY'22. On a trailing basis, yield on assets grew 429bps y/y to 12.61% driven by risk-based model lending. Cost of funds increased 5bps y/y to 1.14% as a result of the rising interest environment which has led to costlier customer deposit mobilization. Subsequently, Net Interest Margin (NIM) widened 401bps y/y to 11.21%.
- **Efficiency Indicator Improved to Mid-40's:** The Cost to Income ratio less impairment declined 659 bps y/y to 44.06%. CTI improvement was attributable to the 34.21% y/y growth in operating income to KES 20.88Bn. Operating expenses increased by 40.66% y/y to KES 11.23Bn attributable to increased staff costs. In line with the industry trend, loan loss provisioning increased sharply by >1000% y/y to KES 2.04Bn indicating increased lending risk outlook despite the implementation of risk-based lending.
- **Asset Quality Maintained**: Gross NPLs increased by 4.64% y/y and 5.30% q/q to KES 23.80Bn while the NPL ratio decreased 104bps y/y to 14.37%, lower than the latest industry average of 14.50%. NPL coverage improved by 94bps y/y to 84.82% from 83.88% in HY'22. Net NPL's increased by 4.26% y/y and 6.12% q/q. Cost of risk increased sharply by 905bps y/y to 9.75% driven by the higher provisioning. We expect asset quality to remain challenged by the tough operating and macro environment which weighs down on borrowers' ability to payback.

Outlook – The performance bettered our expectations, where we observed improved growth in the loan book compared to customer deposits, as well as maintained asset quality through a decrease in the NPL ratio, contrary to the industry trend. We expect long-term growth of the lender to be driven by performance in wealth management business and financial markets business. We expect better performance in the transaction banking business as well as the lenders retail products. We expect SCBK to remain adequately capitalized in the event of the recalling of the second and third tranche of subordinated debt expected to be completed in 2023. Additionally, we foresee partnerships in the financial lending and digital channels will be key drivers for growth.

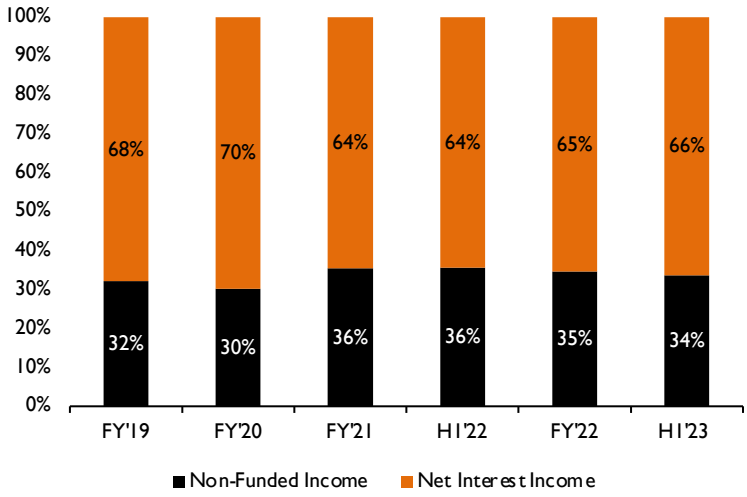
Valuation - The counter is currently trading at a P/B multiple of 0.40x and a P/E ratio of 4.42x. The counter closed yesterdays trading at KES 160.00, a YTD gain of 8.54%. We do not expect the share price to rally in the near term given the lack of an interim dividend. As such, we maintain our HOLD recommendation as we see a minimal upside potential in the coming trading sessions.

Standard Chartered Bank HY'23 Earnings Charts

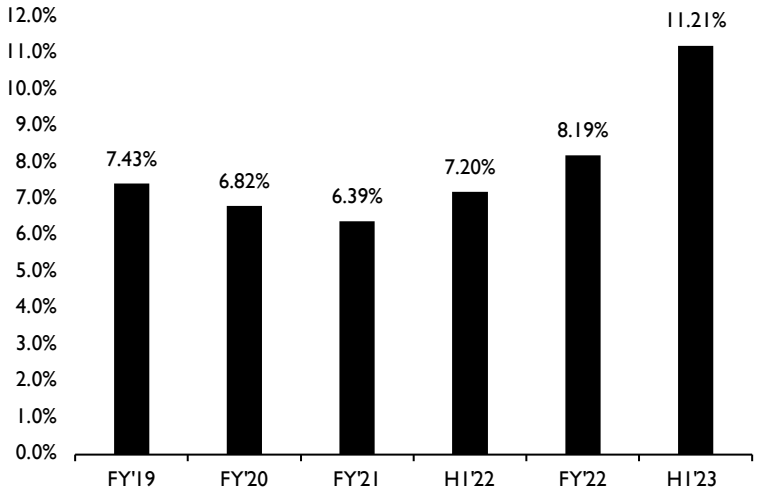
Graph 1: Deposits growth continues to outpace loan growth



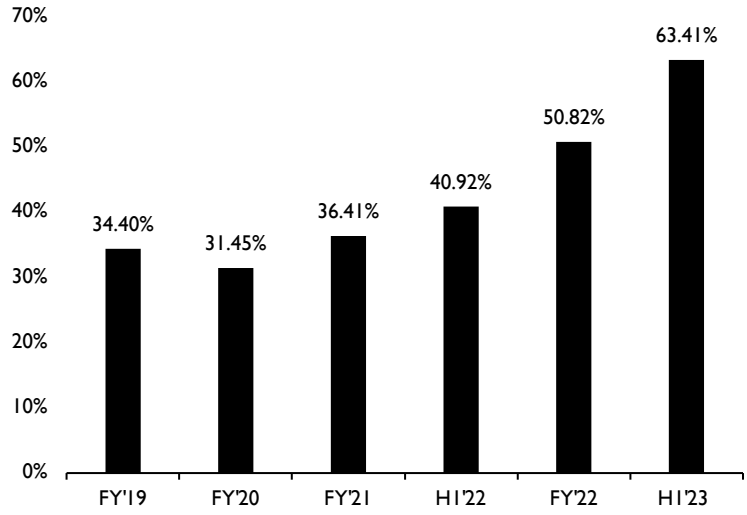
Graph 2: Net Interest Income growth outpaced Net Non-Interest Income



Graph 3: We observed a sharp uptick in Net Interest Margins



Graph 4: Forex Income as a % of Non-Funded Income grew significantly



Source: NSE, CBK, Company Fillings, AIB-AXYS Analyst Estimates

Financial Statement Summary

1. Statement of Profit and Loss

Income Statement	FY'19	FY'20	FY'21	H1'22	FY'22	H1'23	y/y % Change
Net Interest Income	19,472.49	19,117.15	18,809.42	10,014.04	22,223.07	13,851.43	38.32%
Net non-Interest Income	9,227.42	8,289.78	10,355.00	5,542.17	11,753.98	7,026.65	26.79%
Total Operating income	28,699.91	27,406.93	29,164.42	15,556.21	33,977.05	20,878.07	34.21%
Provision for Impairment	(572.59)	(3,882.16)	(2,081.63)	(108.19)	(1,328.46)	(2,035.59)	1781.54%
Total Operating expenses	(16,526.06)	(20,010.88)	(16,566.37)	(7,986.88)	(16,873.85)	(11,234.01)	40.66%
Profit before tax	12,173.86	7,396.06	12,598.05	7,569.33	17,103.20	9,644.07	27.41%
Profit after tax	8,236.77	5,440.42	9,043.84	5,410.18	12,057.94	6,909.38	27.71%
Core EPS Annualized	21.85	14.43	23.99	28.70	31.99	36.66	27.71%

2. Statement of Financial Position

Balance Sheet	FY'19	FY'20	FY'21	H1'22	FY'22	H1'23	y/y % Change
Government Securities	99,628.93	99,779.22	95,595.61	103,560.17	105,696.88	70,686.36	-31.74%
Loans and Advances	128,690.34	121,524.23	125,974.59	128,520.85	139,412.56	145,441.51	13.17%
Total Assets	**302,139.06**	**325,605.07**	**334,871.94**	**364,291.62**	**381,260.02**	**361,677.23**	-0.72%
Customer Deposits	228,433.52	256,497.53	265,469.11	286,911.61	278,879.31	283,668.42	-1.13%
Total Liabilities	254,378.53	274,715.03	281,657.83	307,862.05	325,123.29	304,544.30	-1.08%
Shareholder's Funds	**47,760.53**	**50,890.04**	**53,214.11**	**56,429.58**	**56,136.73**	**57,132.93**	1.25%

3. Key Metrics

	FY'19	FY'20	FY'21	H1'22	FY'22	H1'23
Growth Metrices (y/y)						
Loan book Growth	8.46%	-5.57%	3.66%	-1.35%	10.67%	13.17%
Customer Deposits Growth	1.85%	12.29%	3.50%	3.14%	5.05%	-1.13%
PAT Growth	1.70%	-33.95%	66.23%	10.89%	33.33%	27.71%
Spreads Analysis						
Yield on Assets	9.65%	8.46%	7.57%	8.32%	9.39%	12.61%
Cost of Funds	2.52%	1.87%	1.33%	1.08%	1.18%	1.14%
Net Interest Margin	7.43%	6.82%	6.39%	7.20%	8.19%	11.21%
ROaE	17.45%	11.03%	17.37%	17.71%	22.05%	23.88%
ROaA	2.80%	1.73%	2.74%	2.70%	3.37%	3.73%
Profit Margin	28.70%	19.85%	31.01%	34.78%	35.49%	33.09%
Operating Effiency						
Cost of Income Less LLP	55.59%	58.85%	49.67%	50.65%	45.75%	44.06%
Cost of Assets less LLP	5.43%	5.14%	4.39%	2.22%	4.34%	2.53%
Loan to Deposit	56.34%	47.38%	47.45%	44.79%	49.99%	51.27%
Asset Quality						
NPL	13.88%	16.01%	15.99%	15.41%	14.19%	14.37%
NPL Coverage	78.73%	80.59%	84.41%	83.88%	87.12%	84.82%
Cost of Risk	2.00%	14.16%	7.14%	0.70%	3.91%	9.75%
Capital Adequency						
Core Capital/TRWA	15.19%	15.53%	15.53%	15.43%	15.42%	16.87%
Total Capital /TRWA	18.27%	17.76%	17.76%	17.73%	17.66%	17.26%
Liquidity	70.06%	67.41%	70.73%	73.61%	73.03%	62.84%

Source: Company Fillings, AIB-AXYS Estimates



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